

Tentative Rulings
September 18, 2026
Department S-17
Judge Joseph Ortiz

Tentative Rulings for Department S-17 are posted on the court's website (<https://www.sb-court.org/divisions/civil/civil-tentative-rulings>) at 3:00 p.m. or at 7:00 p.m. the court day before the hearing. If no tentative ruling is posted at 3:00 p.m., please check again after 7:00 p.m.

Unless you wish to submit on the tentative ruling, you must appear for the hearing either in person, CourtCall (888-882-6878 or www.courtcall.com), or by ZOOM. Failure to appear is deemed a waiver of oral argument. If you wish to submit to the tentative, please call the Judicial Assistant at (909) 708-8715 in advance of the hearing. If all parties submit on a tentative ruling, it will become final. The tentative ruling may seek input on particular issues and direct appearance. If so directed, attendance at the hearing is mandatory. The party prevailing on a motion or other hearing shall serve written notice of the court's ruling unless all parties waive notice of the ruling.

ATTENTION: Since January 9, 2023, the court no longer provides an official Court Reporter to transcribe proceedings. Parties who wish to have a transcript must retain their own private reporter and must submit a "Stipulation and Order to Use Certified Shorthand Reporter." Please contact the Department if you need this form. Parties who do not retain their own reporter have waived the right to one.

UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.

14. *Shepard v. People 2.0 North America LLC, et al*, Case No. CIVSB2221511
Plaintiff's Motion for Preliminary Approval of Class Action Settlement
9/18/26, 9:00 a.m., Dept. S-17

This matter was continued from its last hearing date of June 26, 2026

Tentative Ruling

The Court would **GRANT**

Preliminary Approval of Class Action Settlements in General

Settlement of a class action requires court approval. (Cal. Rules of Court, rule 3.769.) The moving party must demonstrate that "the settlement is fair, adequate and reasonable." (*Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 126; *Reed v. United Teachers Los Angeles* (2012) 208 Cal.App.4th 322, 337.) The court has "broad discretion in making this determination." (*In re Microsoft I-V Cases* (2006) 135 Cal.App.4th 706, 723.) Relevant factors the court may consider include "the strength of the plaintiffs' case, the risk, the expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement." (*Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801.) This list of factors "is not exhaustive and should be tailored to each case." (*Ibid.*) The court may "engage in balancing and weighing of factors depending on the circumstances of each case." (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 245, overruled on other grounds in *Hernandez v. Restoration Hardware* (2018) 4 Cal.5th 260, 269.)

"Although the court gives regard to what is otherwise a private consensual agreement between the parties, the court must also evaluate the proposed settlement agreement with the purpose of protecting the rights of the absent class members who will be bound by the settlement." (*Wershba, supra*, 91 Cal.App.4th at p.245 [quoting *Dunk, supra*, 48 Cal.App.4th at p. 1801].) "The court must therefore scrutinize the proposed settlement agreement to the extent necessary to "reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.* [quoting *Officers for Justice v. Civil Service Com'n* (9th Cir. 1982) 688 F.2d 615, 625].)

Nevertheless, the settlement is entitled to a "presumption of fairness . . . where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small." (*Kullar, supra*, 168 Cal.App.4th at p. 128, quoting *Dunk, supra*, 48 Cal.App.4th at p. 1802.)

Provisional Class Certification at Preliminary Approval

Although a lesser standard can be used to provisionally certify a settlement class, the court still needs to review and consider each element for certification. (*Global Minerals & Metals Corp. v. Superior Court* (2003) 113 Cal.App.4th 836, 859.) But, as settlement eliminates the need for trial, "the case management issues inherent in ascertainable class determination need not be confronted." (*Ibid.*)

A class should be certified when “the question is one of a common or general interest, of many persons, or when parties are numerous and it is impracticable to bring them all before court.” (Code Civ. Proc., § 382.) There must be both an ascertainable class and a well-defined community of interest, which includes predominate questions of law or fact, class representatives with claims typical of the class, and class representatives who can adequately represent the class. (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.)

Settlement Notice

“If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court. The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.” (Rules of Court, rule 3.769(f); *Wershba v. Apple Computer, Inc.*, *supra*, 91 Cal.App.4th at p. 251.)

“The purpose of the class notice in the context of a settlement is to give class members sufficient information to decide whether they should accept the benefits offered, opt out and pursue their own remedies, or object to the settlement. As a general rule, class notice must strike a balance between thoroughness and the need to avoid unduly complicating the content of the notice and confusing class members. Here, again, the trial court has broad discretion. (*Wershba*, *supra*, 91 Cal.App.4th at p. 252.)

The manner of notice shall be by means reasonably calculated to apprise the class members of the settlement. (Rules of Court, rule 3.766(f).) The standard is “whether the notice has ‘a reasonable chance of reaching a substantial percentage of the class members.’” (*Wershba*, *supra*, 91 Cal.App.4th at p. 251.) The court must consider the interest of the class, type of relief obtained, the state of the individual class members, the costs of notifying the class members, the resources of the parties, the possible prejudice to the class members who do not receive notice, and the *res judicata* effect on the class members. (Rules of Court, rule 3.766(e).)

The Proposed Settlement

Here, Plaintiff Lee filed her instant wage-and-hour class action complaint (CIVSB2221511) against Defendants on September 28, 2022. At approximately the same time, on September 27, 2022, Plaintiff Lee also filed her original notice letter with the Labor and Workforce Development Agency (LWDA), in anticipation of a pending representative action for civil penalties pursuant to the Private Attorneys General Act (PAGA). After the exhaustion of administrative remedies, Plaintiff Lee filed her PAGA complaint (CIVSB2301269) on January 3, 2023. Importantly here, Plaintiff’s counsel lost contact with Plaintiff Lee in 2025 but identified and substituted in Plaintiff Shepard. (See, e.g., Second Amended Complaint [SAC], CIVSB2221511, filed Oct. 20, 2025 [identifying representative Plaintiff as Shepard].) An *amended* LWDA notice relating to the PAGA claim, which included Plaintiff Shepard, was sent on April 2, 2025.

Certainly, during the course of this lengthy litigation, Plaintiffs sought and received extensive discovery. (Hawkins Decl., ¶¶7 & 14; Settlement, 2:26-3:2.) They also received substantial payroll and time records, as well as handbook and policy documents. (*Ibid.*) While attempts to find a settlement offramp continued for several years, eventually the parties held a formal mediation on February 21, 2024, with

Tripper Ortman, an experienced neutral. (*Ibid.*) The parties reached a settlement in the abstract. The long form settlement agreement was executed in February of 2026. (Hawkins Supp. Decl., Exh. 1 [Signed Settlement].) Notice of the settlement was given to the LWDA on August 21, 2026. (Hawkins Supp. Decl., Exh. 4 [email submission].)

Importantly, the operative Third Amended Complaint (TAC) was filed on September 3, 2026, in order to fold all claims into a single instrument for purposes of this preliminary approval hearing. The TAC alleges violations relating to (1) overtime wages; (2) meal periods; (3) rest breaks; (4)-(5) wage timeliness; (6) accurate wage statements; (7) reporting time; (8) wage deductions; (9) non-Labor Code compliant instruments; (10) wage timeliness; as well as (11) violation of the unfair competition law; and (12) civil penalties pursuant to the Private Attorneys General Act (PAGA).

There are an estimated 260 class members and 110 PAGA aggrieved employees. (Hawkins Decl., ¶¶14 [Class] & 36 [PAGA].) For purposes of settlement, the class period will reach from September 28, 2018, through the date of preliminary approval. The PAGA period is from September 28, 2021,¹ through the date of preliminary approval.

The settlement is proposed on the following terms: Defendants will pay a gross, non-reversionary settlement amount of \$211,250.00, from which will be deducted (1) up to \$70,346.25 for Class Counsel's attorneys' fees (1/3rd of gross); (2) costs not to exceed \$35,000.00;² (3) Plaintiff's enhancement fees of no more than \$10,000.00 total; (4) claims administration fees not to exceed \$6,500.00;³ and (5) PAGA penalties of \$25,000.00 (of which \$18,750, or 75%, will go to the LWDA and \$6,250, or 25%, will go to the aggrieved employees).

The parties estimate this will leave a wage-and-hour only net settlement amount of a non-reversionary \$64,403.75. This amount would be split by the class of approximately 260 current and former employees in proportionate shares determined by number of workweeks within the Settlement Class Period. The average per class member would be \$247.71. Eighty percent (80%) of paid funds will be representative of penalties and interest, and the remaining one-third twenty percent (20%) are representative of wages. (Settlement, ¶168.)

Presuming 110 PAGA aggrieved employees, the average PAGA payout would be \$56.81.

¹ The original LWDA notice letter does *not* include Plaintiff Shepard, and Plaintiff Lee is *not* a signatory to this settlement. However, Plaintiff Shepard joined in the *amended* LWDA notice on April 2, 2025, and a review of the factual allegations is sufficient to support relation back. (See *Hargrove v. Legacy Healthcare, Inc.* (2022) 80 Cal.App.5th 782, 789-790 [discussing permissibility of relation-back of PAGA claims].)

² Prior to any final approval, Counsel will provide a break-down of costs at the motion for final approval. Notably, any attorney bills submitted in the guise of services of an expert will require explanation and clarification as to why such bills are not properly considered attorneys' fees. Expert fees will identify the expert utilized. Further, this cap for costs appears much higher than usual. Counsel will be sure to provide a complete breakdown of costs with its motion for final approval.

³ Plaintiff posits an estimate of \$6,250 for administrator costs; however, the Court will use the settlement agreement's limitation for purpose of this analysis. (Settlement, ¶136.)

The amount of the settlement is appropriate given the strength of the case, especially in light of Counsel's estimated potential liability exposure. (Hawkins Decl., ¶¶29-35.) However, the lower actual settlement appears fair and reasonable in light of certification issues and when calculated to include analysis of various potential defenses as well as the potential appeal of any judgment should Plaintiffs be successful in this venue.

Given the presumption of fairness, the Court would find the figure sufficient to satisfy the *Kullar* requirement. Further, adequate discovery and investigation has occurred. There is no evidence of fraud or collusion. Class Counsel are well qualified to represent the class. The settlement was reached through an arms-length negotiation with the assistance of an experienced and well-respected mediator. The deductions from the gross settlement fund (attorneys' fees,⁴ costs,⁵ administration fee, incentive award, PAGA penalties, and taxes) appear to be reasonable and appropriate and are, therefore, *preliminarily* approved in the "not to exceed" amounts in the motion. The proposed notice is, also, adequate.

Counsel and the representative are appointed conditionally to represent the class. The motion is *granted*. The court will schedule a hearing to consider final approval at the closest available date to the date recommended by counsel.

The Court preliminarily approves the settlement and (1) James Hawkins APLC, as Settlement Class Counsel; (2) appoints Tessa Shepard as Class Representative; (3) approves Apex Class Action LLC as Settlement Administrator; (4) preliminarily finds the settlement fair, reasonable, and adequate; and (5) approves the form and content of the proposed Class Notice and directs the mailing of the same.

At final approval, counsel must advise the court of any pending cases that will be affected by approval of the settlement. Again, prior to final approval, **Counsel must provide the exact number of class members and workweeks for the class settlement and the exact number of PAGA aggrieved employees and pay periods for the PAGA settlement.**

16. *Lee-Jones, et al, v. MWC Group, Inc., et al*, Case No. CIVSB2325618
Plaintiff's Motion for Preliminary Approval of Class Action Settlement
9/18/26, 9:00 a.m., Dept. S-17

The Court would **CONTINUE** this hearing to allow for supplemental or amended filings. There are a number of concerns:

First, there appears to be no assessment of the number of PAGA aggrieved employees whatsoever. This is particularly troubling in light of the assessment of a class of approximately 92 employees and a proposed PAGA settlement of only \$1,000. (See Settlement, ¶3.2.5.) Theoretically, the number of PAGA aggrieved employees should be *fewer* than the number of class members. However, if we take the 92 figure for argument's sake, 25% of that \$1,000 total PAGA settlement is only \$250, and this could result in about only \$2 dollars per PAGA aggrieved employees. An assessment of the approximate number of

⁴ Counsel must provide a full lodestar analysis in the motion for final approval.

⁵ Costs must be documented. The court does not award costs for LEXIS or Westlaw usage (which are considered items of overhead), faxes (also overhead), or photocopying in excess of \$0.06 per page.

PAGA aggrieved employees – as well as an assessment of how the proposed settlement is fair and reasonable – will have to be provided.

Second, the Settlement indicates potential service payments for each representative Plaintiff at “not more than \$20,000 each . . .” (Settlement, ¶3.2.1 [emphasis added].) Given that there are two such representative Plaintiffs, that means the service payments could total up to \$40,000. This is troubling since the gross is only \$100,000. (Settlement, ¶3.1 [gross settlement amt].) Further, after attorneys’ fees (25%), costs, and other expenses, it appears that these service payments may be more than *half* of the available net funds. No explanation is provided as to some sort of extraordinary work that would justify these proposed service payments or why this formula would be fair, reasonable, or appropriate given the facts of the case.

Third, while it may be a typographical error, the Settlement’s tax treatment is nonsensical. It allocates 10% of the class payout as representative of wages. (Settlement, ¶3.2.4.1.) Troublingly, it *also* allocates 10% of the class payout as representative of “interest and penalties.” (*Ibid.*) This leaves 80% of the payout unaccounted for. Further, it appears the payroll taxes would be paid from the gross settlement; thereby further reducing what would be paid to the class members. (Settlement, ¶3.1; Duchrow Decl., ¶46.) There is no treatment as to why the ratio would be appropriate given that the claims appear to largely center on wages.

Finally, the supporting declaration fail to set forth any assessment of potential maximum exposure or value of the claims, other than to state tersely that the settlement is “fair, reasonable, and adequate . . .” (Duchrow, ¶42.) Certainly, the moving party must *demonstrate* that “the settlement is fair, adequate and reasonable.” (*Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 126; *Reed v. United Teachers Los Angeles* (2012) 208 Cal.App.4th 322, 337.) To make a fairness determination, the Court should consider several factors, including: “the strength of Plaintiff’s case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, [and] the experience and views of counsel.” (*Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801.) Here, movant appears not to have provided enough facts or analysis to meet that burden.

Movant will provide supplemental declaration(s) to address these concerns at least five days prior the next hearing.
